

Annual Activity Report 2025

Directorate-General for Defence Industry and
Space

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DG DEFIS IN BRIEF

The **mission** of the Directorate-General for Defence Industry and Space (DG DEFIS) is to **lead the implementation of EU defence industry and space policies and programmes, supporting European strategic autonomy and security, while advancing defence and space capability development through innovative technologies, industrial competitiveness, and cross-sector synergies**. EU competences and obligations for defence industry action are conferred under the TFEU Title XVII Industry, in particular Article 173(3), and Title XIX Research and development, in particular Article 182(4), Article 183 and the second paragraph of Article 188; and for space under Articles 189 and 4(3) TFEU. The policy domains of the defence industry and space fall under **shared competence with Member States**, bordering areas where Member States have exclusive competences, such as security and defence. Under the leadership of European Commissioner for Defence and Space, **Andrius Kubilius**, DG DEFIS collaborates closely with Member States and key stakeholders to strengthen the EU's defence and space capabilities. In the context of Russia's war on Ukraine and shifting geopolitical dynamics, DG DEFIS's mission is increasingly vital for achieving EU objectives.

DG DEFIS is responsible for a total budget of EUR 26.1 billion for the period 2021–2027 through:

- the **European Defence Fund (EDF) and its precursors, the European Defence Industrial Development Programme (EDIDP)** and the **Preparatory Action on Defence Research (PADR)**, the EDF and EDIDP largely implemented through direct management by the Commission (mainly grants) and the PADR partially implemented through indirect management by the European Defence Agency (EDA);
- the **Act in Support of Ammunition Production (ASAP)** and the **EU Defence Industry Reinforcement through Common Procurement Act (EDIRPA)** for 2023–2025;
- the **European Defence Industry Programme (EDIP)** for 2025–2027, extending the logic of EDIRPA and ASAP;
- the **EU Space Programme and the EU Secure Connectivity Programme**, implemented through direct management by the Commission or through indirect management by the European Union Agency for the Space Programme (EUSPA), the European Space Agency (ESA) and other entrusted entities; and
- **Horizon Europe for Space**, managed by DG DEFIS and the Health and Digital Executive Agency (HaDEA) in cooperation with DG RTD, along with indirect management by EUSPA and ESA.

DG DEFIS implements the **Security Action for Europe (SAFE)** instrument, adopted on 27 May 2025, providing up to EUR 150 billion in long-maturity loans to help Member States accelerate defence readiness and close critical capability gaps. DG DEFIS relies on external control systems, given that most of its budget is managed indirectly via entrusted entities, except for most of the EU defence programmes¹. External auditors have validated these systems through pillar assessments, based on the Commission's common terms of reference, with critical recommendations implemented before any contribution agreements with entrusted entities are signed. This setup integrates the control systems of entrusted entities into DG DEFIS' accountability chain. Beyond the risks related to the direct and indirect spending modes, DG DEFIS must consider external factors beyond its control, such as technical risks (space activity), extraordinary events (e.g., the COVID-19 pandemic and the Russian war against Ukraine), and security risks.

⁽¹⁾ To note that most of the budget linked to defence initiatives (i.e. EDF and its precursor programmes, ASAP, and EDIRPA) is managed directly.

EXECUTIVE SUMMARY

The annual activity report is a management report by the Director-General of DG DEFIS to the College of Commissioners. Annual activity reports are the primary instrument of management accountability within the Commission and form the basis on which the College takes political responsibility for the decisions it takes, as well as for the coordinating, executive and management functions it exercises, as laid down in the Treaties ⁽²⁾.

The work of DG DEFIS in 2025 is aligned with the 2025 Management Plan and the strategic outlook of the Strategic Plan 2025-2029, with the aim of achieving the specific objectives and contributing to the general objectives of the Von der Leyen Commission 2025-2029 term. DG DEFIS's programmes and policy initiatives played a crucial role in enhancing EU security, resilience, and sustainability, whilst reinforcing EU strategic autonomy and competitiveness.

A. Key results and progress towards achieving the Commission's general objectives and department's specific objectives



A new plan for Europe's sustainable prosperity and competitiveness

In 2025, DG DEFIS remained at the forefront of the space domain: the Commission Communication “**A Vision for the European Space Economy**”, adopted in June, sets out the objective of positioning the European Union as a global space leader by 2050. The **CASSINI Investment Facility** supported the creation of 4 new venture capital funds, bringing the total to 19, with each receiving between EUR 10 million and EUR 60 million, which in turn enabled more than 100 investments and co-investments in seven European space scale-ups since 2021. The CASSINI companies managed to raise more than EUR 940 million in private investment in 2025, the highest amount recorded under this initiative to date. The pilot edition in 2025 of the **CASSINI Space Camps** initiative fostered interest in the space sector among young students to spark STEM careers and inspire educators. Furthermore, **CASSINI Hackathons & Mentoring** supported adults and aspiring professionals by enhancing knowledge of space data and services to use. A dedicated **Space Career Launchpad** platform served as a navigator for job opportunities and skill development.

In 2025, **Galileo** provided continuous services, in line with public service commitments. In July 2025, Galileo declared the first-ever satellite-navigation authentication service, the **Galileo Open Service Navigation Message Authentication** (OSNMA). Two more satellites were launched successfully in December. But the year 2025 was also marked by intense work to prepare declarations of the **Galileo Public Regulated Service** Initial Operational Capability (PRS IOC), of the **Galileo Open Service** Full Operational Capability (OS FOC) and of the **Galileo Emergency Warning Satellite Service** Initial Services which are expected to happen in 2026.

EGNOS continued delivering excellent services (despite an outage that occurred in October 2025) with more than **1 500 EGNOS landing procedures** in more than 550 airports by the end of 2025.

⁽²⁾ Article 17(1) of the Treaty on European Union.

On Earth observation, the Copernicus Sentinel-1C became fully operational, providing long-awaited redundancy in space and allowing to re-establish the Sentinel-1 constellation configuration. Four new Copernicus Sentinels were successfully launched. The development of both the expansion and NG Sentinel missions continued in 2025 as planned. The six Copernicus services were operated routinely in 2025, delivering cutting-edge and authoritative information to their various user communities.

Activities progressed under the **Space Situational Awareness (SSA)** ⁽³⁾ component, which consists of three subcomponents: **Space Surveillance and Tracking (SST)**, **Space Weather Events (SWE)** and **Near-Earth Objects (NEO)**. The EU SST Partnership continued providing SST Collision Avoidance services together with the EU SST Front Desk at EUSPA to an increasing number of users worldwide. It also successfully expanded its services by opening **SST Re-Entry services** to non-EU users, while **SST Fragmentation services** to EU users continued uninterrupted. Offering these critical services free of charge to space operators worldwide is vital for enhancing space safety and sustainability for all space actors. Belgium, Bulgaria, Lithuania and Luxembourg paved the way to join the EU SST Partnership, which soon will count 19 (from previously 15) Member States. Preparations for an operational EU space weather service are underway, with a call for tender to procure the service to be launched in early 2026. To further enhanced preparedness and responsiveness, the physical characteristics of NEOs will continue to be studied in depth. Implementing the **EU approach on space traffic management** (STM), the STM stakeholder mechanism continued to intensify its work on delivering on the 10 actions outlined in the Joint Communication of 2022.

Under the **Horizon Europe 2025 work programme**, several calls were launched by the European Health and Digital Executive Agency (HaDEA) and the European Union Agency for the Space Programme (EUSPA), with additional projects from 2024 being awarded, and around 35 small and medium-sized enterprises participated actively. The implementation of the **In-Space Operations and Services (ISOS) pilot mission** began successfully, strengthening the European Union's ability to act in space. DG DEFIS provided support to the Strategic Technologies for Europe Platform (STEP) by identifying space calls worth EUR 53 million for 2025 and EUR 60.2 million for 2026–2027.

 In 2025 DG DEFIS continued to shape the EU's defence industry agenda. Following the **Joint White Paper for European Defence Readiness 2030**, the Commission adopted the **Preserving Peace – Defence Readiness Roadmap 2030**, setting clear objectives and milestones to strengthen Europe's defence capacities and close investment and capabilities gaps for full defence readiness by 2030. New financial instruments and tools were mobilised in pursuit of this vision under the **ReArm Europe plan**, including the **Security Action for Europe (SAFE)**. DG DEFIS contributed to the Commission's work on simplification (**Defence Readiness Omnibus**) and defence industrial transformation (**Defence Industry Transformation Roadmap** published in November 2025) to boost the competitiveness, resilience and innovation of the European defence industry.

In 2025, DG DEFIS ensured effective implementation of the **European Defence Fund (EDF)**, the **EU Defence Industry Reinforcement through Common Procurement Act (EDIRPA)** and the

⁽³⁾ The SSA component will cover EU SST, SWE and NEO, as well as an overall strengthening of security requirements when developing EU space systems)

Act in Support of Ammunition Production (ASAP), delivering tangible improvements in EU defence capabilities and industrial capacity while reducing fragmentation through collaborative R&D and advanced technologies. The adoption of the **European Defence Industry Programme (EDIP)** will further enhance the competitiveness, responsiveness and security of supply of the European defence industrial base **and promote cooperation with Ukraine**. The adoption of the **mini-omnibus regulation** opened up new opportunities for the association of Ukraine to the EDF, deepening Ukraine's integration into the EU defence industrial and innovation ecosystem. As part of the European Defence Fund (EDF), the EU Defence Innovation Scheme (EUDIS) strengthened support to non-traditional defence actors. In 2025, two new initiatives were launched under EUDIS: the **Business Accelerator** and **Matchmaking initiatives**. The launch of the **BraveTech EU initiative** advanced a unified EU-Ukraine technology ecosystem, accelerating innovation from development to deployment. By 2025, EUR 5.4 billion had been committed to defence R&D, supporting 225 collaborative EDF projects and positioning the EDF among the EU's top defence R&D investors. Concrete EDF success stories are emerging, with next-generation capabilities already translating into operational use, including on the battlefield in Ukraine.

In 2025, DG DEFIS established a task force to implement the new **SAFE (Security Action for Europe)** instrument, which entered into force on 29 May. As part of the **ReArm Europe – Defence Readiness 2030 Plan**, SAFE provides loans to support urgent defence investments and address critical capability gaps. Member States interest exceeded available funds, with 19 Member States submitting national Defence Industry Investment Plans by 30 November, covering 691 projects, 65% of which involved joint procurement. By the end of 2025, the task force was assessing the plans with the aim of concluding loan agreements in early 2026.

In 2025, DG DEFIS progressed the implementation of the **EU Space Strategy for Security and Defence** adopted in March 2023. Key actions included setting up the **EU Space Sharing and Analysis Centre (ISAC)**, launching feasibility studies for a potential EU Earth Observation Governmental Service, and presenting progress to Member States at a year-end workshop. Discussions with Member States and the EEAS continued to focus on improving synergies between SST and SDA, including future SST governmental services under the European Competitiveness Fund. In parallel, two studies on the **Earth Observation Governmental Service (EOGS)** were finalised, and a pilot under the Copernicus Security Service was launched.

The **Copernicus data and information** are aimed at achieving “policy readiness” to maximise the impact of Earth observation for EU and national policy implementation. DG DEFIS has been leading the modernisation of Copernicus services in 2025, integrating AI-powered analytics, enhanced data access, and improved service delivery for sectors such as agriculture, forestry, and emergency response.



Sustaining our
quality of life:
food security,
water and
nature



Leveraging our
power and
partnerships

DG DEFIS enhanced its collaboration with the **United Nations Office of Outer Space Affairs (UNOOSA)** to advocate for a pragmatic bottom-up approach to **space traffic** coordination in light of increasing space congestion. The first-ever UN Space Sustainability Days, a joint DG DEFIS-UNOOSA capacity-building workshop, fed into deliberations of the Scientific and Technical Sub-Committee (STSC) of the Committee on the Peaceful User of Outer Space (COPUOS) and helped inform the setup of a COPUOS STSC Expert Group on space traffic coordination.

DG DEFIS engaged with third countries which have shown significant interest in participating in the EU's secure connectivity programme and the GOVSATCOM component of the EU space programme. Formal negotiations with Norway and Iceland continued in 2025 and were almost finalised, with the signature of the Agreements expected in the beginning of 2026. In 2025, the Commission also proposed to Member States to authorise the opening of formal negotiations with Ukraine for their participation in IRIS² and GOVSATCOM.

Delivering on the **Union Secure Connectivity** priority flagship, the development of multi-orbital satellite constellation IRIS² (Infrastructure for Resilience, Interconnectivity and Security by Satellite) continued at full speed. Several important sub-contracts were signed with core consortium team members and key suppliers. Activities focused on consolidating the baseline for the overall system design of the IRIS² infrastructure and to ensure a high level of security for IRIS². A preliminary market consultation was conducted to support the development of user terminals that can be used with the EU's communication satellite systems. Significant progress was achieved in preparation for the start of operations of **GOVSATCOM**, a system designed to pool and share satellite communication services with Member States and authorised users. The Commission signed contracts with five resource providers: France, Greece, Italy, Luxembourg, and Spain. Building on this framework, a broader range of satellite communication services, featuring secure and low-latency connectivity, will be gradually made available for governmental, defence, and commercial users.



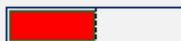
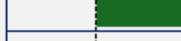
DG DEFIS has implemented a comprehensive simplification agenda to reduce administrative burdens and streamline access to EU defence funding, thereby **stimulating new investment in the European defence sector**. In 2025, the Commission proposed several major simplification initiatives through the **mini-omnibus** and the **Defence Readiness Omnibus**. The administrative burden linked to **company ownership verification has been significantly reduced** by extending the validity of Ownership Control Assessments (OCAs)

from 18 to 36 months. Also, **EDF grant award criteria have been simplified**, notably for SMEs and disruptive non-thematic calls, in order to provide simpler, faster and more flexible support to innovators.

These changes **cut application documentation requirements by around half**, allowing companies to save substantial time and resources. Taken together, these measures are expected to generate total **cost savings exceeding EUR 100 million per year** for both industry and the Commission. Under the EDF, **lump-sum financing** was applied to the maximum extent possible, in particular in calls targeting innovative SMEs. In parallel, work has continued to **introduce simpler and leaner funding cycles** to facilitate the rapid integration of cutting-edge defence solutions into operational systems, including through agile testing and validation, enabling **accelerated implementation timelines** that keep pace with technological change. In addition, all EDF projects will be able to use the **Financial Support to Third Parties (FSTP)** mechanism, further facilitating the participation of start-ups and SMEs through simplified access to funding and easier integration into collaborative projects. Building on the EDF Interim Evaluation outcomes, the combined effect of these simplifications and the shorter duration of disruptive projects will accelerate the integration of new defence solutions and enable more cost-efficient development of innovative technologies, with the **potential to shorten overall timelines by up to 28 months**.

The **EU Space Act** contributes to simplification by addressing the current fragmentation of national regulatory frameworks governing space activities. By introducing a common EU framework, including mechanisms such as EU-level certification and a Union registry, it streamlines procedures for operators active across several Member States and reduces duplicative compliance and administrative requirements.

B. Key performance indicators

KPI #	KPI Title	Baseline (2024)	2025		Interim milestone	Target (2029)
Specific objective 1.1: Strengthen the EU's competitiveness, resilience and autonomy through the provision of modern and well-functioning EU space assets and EU space-enabled services						
1.1.1	Galileo Open Service Availability	99,90%	99,64%		99,90%	99,90%
1.1.2	EGNOS Safety of Life availability LPV-200	95,48%	97,23% *		95,48%	97,00%
1.1.5	Number of launches for EU needs	4	7		9	20
1.1.6	Number of resource providers for the GOVSATCOM service catalogue items	0	5		7	>7
1.1.7	Support to start-ups by CASSINI Business Accelerator	40	80		120	200
Specific objective 2.1: Reduce fragmentation of efforts and reinforce joint investments and cooperation within the EU defence industry and technological base, including SMEs and Mid-Caps – building a European Defence Union						
2.1.1	Value of European defence R&D conducted in collaborative settings with EU support (billion EUR)	3,10	4,10		5,00	7,30
Specific objective 2.2: Develop a Single Market for Defence capable of delivering a full spectrum of innovative solutions, tools, space-enabled services, and technologies, reinforcing readiness of the EU's defence industrial and technological base to effectively anticipate, prevent, withstand or respond to any type of military contingencies, cyber-attacks or hybrid threats of military contingencies, cyber-attacks or hybrid threats						
2.1.1	Value of European defence equipment commonly procured with EU support	0	0 **		>Baseline	>Baseline
2.2.1	Value of European defence equipment commonly procured with EU support	0	0 **		>Baseline	>Baseline
2.2.3	Number of Ukrainian defence companies participating in EU defence industrial programmes and initiatives	0	0 **		>Baseline	>Interim milestone
Specific objective 2.3: Further develop synergies between Space and Defence						
2.3.1	Number of defence users of the EU Space Programme	0	0 **		10000	25000
Specific objective 4.1: Provide reliable EU space-based data and services as cornerstones for the monitoring of, and transition to, climate-neutrality and ecological sustainability as well as preparedness and crisis management thanks to the EU Space Programme						
4.1.1	Number of users of the Copernicus data and information	1 048 000	1042455 ***		>Baseline	>Baseline
4.1.3	Galileo User Satisfaction	83,00%	86,28%		84,00%	85,00%

* On 13 October 2025 an exceptional service outage made EGNOS LPV-200 unavailable for 4 days – see EGNOS Service Notice 35 for details.

** Reporting not available yet – starting in 2026

*** Data as per Q3 2025

C. Key conclusions on internal control and financial management

DG DEFIS has systematically examined the available control results and indicators, including those from supervised entities to which it has entrusted budget implementation tasks, as well as the observations and recommendations issued by the internal auditor and the European Court of Auditors.

The transition in 2025 to the Commission's new accounting system, SUMMA, has required the adjustment to a new system and has impacted budget implementation tasks, processes and financial management activities, particularly during the first part of the year. This required careful management to ensure the same data quality as in previous years.

All the above elements have been assessed to determine their impact on management's assurance about the achievement of the control objectives.

In conclusion, management has reasonable assurance that, overall, suitable controls are in place and working as intended; risks are being appropriately monitored and mitigated. The Director-General, in his capacity as Authorising Officer by Delegation, has signed the Declaration of Assurance.

D. Provision of information to the Commissioner(s)

In the context of the regular meetings during the year between DG DEFIS and the Commissioner on management matters, the main elements of this report and assurance declaration have been brought to the attention of Commissioner Kubilius, responsible for Defence and Space.

1. KEY RESULTS AND PROGRESS TOWARDS ACHIEVING THE COMMISSION'S GENERAL OBJECTIVES AND SPECIFIC OBJECTIVES OF THE DEPARTMENT ⁽⁴⁾

1.1. General Objective 1: A new plan for Europe's sustainable prosperity and competitiveness



Specific Objective 1.1: Strengthen the EU's competitiveness, resilience and autonomy through the provision of modern and well-functioning EU space assets and EU space-enabled services

In 2025, DG DEFIS continued the efficient implementation of the **EU Space Programme** with a view to maintaining Europe's leadership in global space innovation and security. This included advancing **Horizon Europe** funding for space-related research and development, bolstering synergies with defence applications, and enhancing Europe's strategic autonomy in critical space technologies.

The 21st century is the century of space, with Europe's economy increasingly reliant on space-based systems and solutions. Recognising the strategic importance of space, the Commission adopted, in June 2025, the Communication "**A Vision for the European Space Economy**". The Vision sets out a strategic roadmap to position the EU as a global leader in the space economy by 2050. The Vision aims to strengthen competitiveness, autonomy, innovation, and market share through more than 40 concrete actions. To support evidence-based policymaking, the European Space Economy Thematic Account (ESETA) was launched as a joint DG DEFIS–EUROSTAT–DG JRC–ESA initiative to improve official statistics on the EU space sector. Together, these initiatives lay the groundwork for sustainable growth and future European space capabilities.



DG DEFIS pursued a sustainable space policy with a focus on strengthening resilience and safeguarding the EU's sovereignty and security. Delivering on the Union Secure Connectivity priority flagship, the development of the multi-orbital satellite constellation **IRIS² (Infrastructure for Resilience, Interconnectivity and Security by Satellite)** continued at full speed on the basis of a competitive and innovative public-private partnership established under a 12-year concession contract with the SpaceRISE consortium. During 2025, several important subcontracts were signed with core consortium team members and key suppliers. In parallel, activities took place to ensure a high level of security for

⁽⁴⁾ An executive agency uses as heading: "Implementation of the Agency's annual work programme - Highlights of the year".

IRIS² and the availability of frequencies (16 Member States signed an Administrative Arrangement on IRIS² frequency filings). The System Requirement Review, a key milestone for consolidating the baseline for the overall system design of the IRIS² infrastructure, was concluded by November, followed by the IRIS² Service Review (expected to conclude by January 2026). From July to September 2025, a [preliminary market consultation](#) was conducted, allowing interested market players to provide feedback and support the development of innovative and interoperable terminals that can be used with the EU's satellite communication systems.

Significant progress was made in preparing the start of **GOVSATCOM operations** in Q1 2026. In 2025, a negotiated procurement process secured existing governmental satellite communication resources for the **GOVSATCOM Common Union Pool**, with contracts signed with five Member States: France, Greece, Italy, Luxembourg, and Spain (to be noted, one contract signed in January 2026). The system will provide access to a broad range of secure satellite communication services across multiple frequency bands and wide geographical coverage. By 2027, new resources from commercial resource providers with relevant security features will be rolled out progressively.



Copernicus Sentinel-1C became fully operational, restoring in-orbit redundancy and re-establishing the nominal Sentinel-1 constellation. Sentinel-2A was also operated to complement the Sentinel-2 mission, enhancing monitoring capacity over Europe. Four new Copernicus Sentinel satellites were successfully launched, including Sentinel-4A and Sentinel-5A, which will significantly strengthen air-quality monitoring and forecasting, as well as Sentinel-1D and Sentinel-6B, ensuring continuity of radar and ocean altimetry missions. Development of the expansion and next-generation Sentinel missions continued as planned in 2025. The six Copernicus services operated routinely throughout the year, delivering authoritative information to users, with a strong focus on expanding national collaboration programmes, thematic hubs, and the use of artificial intelligence (AI).



Activities under the **Space Situational Awareness (SSA)** component progressed across its three subcomponents. In **Space Surveillance and Tracking (SST)**, the **EU SST Partnership** continued to provide collision avoidance services through the **EU SST Front Desk** at EUSPA to a growing global user base and expanded re-entry services to non-EU users. Preparations were completed for four additional Member States—Belgium, Bulgaria, Lithuania, and Luxembourg—to join the Partnership in early 2026, increasing membership to 19 and further strengthening EU SST capabilities. SST activities for 2023–2026 continued to be supported through six Commission grants including under Horizon Europe, and information-exchange arrangements were initiated with large constellation operators to enhance the safety of space operations.

Preparatory work on an **EU operational Space Weather Service** advanced including the completion of a user needs and readiness assessment which led to the selection of a service for the space domain as a priority; a call for tender is planned for early 2026. In the area of **Near-Earth Objects**, a workshop on astrometric and radar observations of Near-Earth Objects was held in 2025 gathering experts from around the world. A catalogue on the physical properties of Near-Earth Objects was procured, to be implemented in 2025 and 2026.

DG DEFIS continues to implement the **EU approach on space traffic management (STM)** through ten actions in four areas: 1) assessing STM requirements of civil and military space operators; 2) enhancing operational capabilities such as SST services and assets through the '**EU Industry and Start-ups Forum on STM**'; 3) developing and promoting regulatory aspects; and 4)

promoting the EU STM approach internationally. The **STM stakeholder mechanism** set up in 2023 brings the fora called for in the Joint Communication ⁽⁵⁾ into a single comprehensive structure consisting of one main group and four subgroups along the four STM areas; it facilitates regular stakeholder meetings to gather valuable inputs, ideas, and contributions. In 2025, DG DEFIS also prepared the launch of two studies of the **EU Space Work Programme 2025-2027** on space safety with a focus on constellations and on EU contributions to a global space traffic management system, respectively.



In 2025, **Galileo** ensured seamless, safe and secure service provision, in line with public service commitments. The **Galileo constellation achieved its final configuration in February 2025, with 24 satellites in nominal slots** and 3 spare satellites. From that point onwards, the constellation will be replenished as needed, as was the case with the **dual launch** that took place in December 2025. In July 2025, Galileo declared the first-ever satellite-navigation authentication service, the **Galileo Open Service Navigation Message Authentication (OSNMA)**, which ensures that the navigation data encoded in the Galileo signals originates from the Galileo system, increasing resilience against spoofing attacks. The year 2025 was marked by intense work to prepare the declarations of the **Galileo Open Service Full Operational Capability (OS FOC)** and the **Galileo Public Regulated Service Initial Operational Capability (PRS IOC)** which are expected in the first half of 2026. In addition, the **Galileo High Accuracy Service** delivered excellent performance, enabling **high-accuracy positioning and navigation signals for efficient routes across various transport modes** (cars, public transport and boats), reducing fuel consumption and CO₂ emissions. The **Galileo Emergency Warning Satellite Service** pilot phase progressed, preparing for the upcoming Initial Service declaration in 2026.

Finally, **EGNOS** continued delivering excellent services (despite the outage that occurred in October 2025), allowing the streamlining of flight routes and reducing fuel usage and CO₂ emissions. By the end of 2025, there were more than **1 500 EGNOS landing procedures** in more than 550 airports.



Within the field of **In-Space Operations and Services (ISOS)**, the year began with the signing of the **EU ISOS Joint Declaration** between the European Commission, France, Germany, Luxembourg, Portugal, and Spain on 28 January 2025, to support the deployment of the ISOS Pilot Mission in 2030 and to strengthen collaboration on ISOS. This marked a significant step towards accelerating the development of Europe's strategic capability to 'act in space'.

The **ISOS Pilot Mission** is a pioneering mission that aims, by 2030, to demonstrate in-space services and operational capabilities, enabling European space actors to provide on-demand maintenance, life extension, upgrades, assembly, removal and logistics services in space. The mission will serve as a catalyst for the new in-space economy, expand in-orbit demonstration and validation capacities, and enhance the resilience and sustainability of space infrastructure, while maximising the use of EU space technologies. The Pilot Mission is designed as a precursor to a future European in-space infrastructure, providing a wide range of on-demand in-space services to governmental and commercial users and assets, delivered by both public and private actors.

⁽⁵⁾ JOIN(2022) 4

Cooperation with Member States continued to underpin the ISOS approach in 2025. Building on the work of the **Pilot Mission Advisory Group**, which supported the initial mission and system definition of the ISOS Pilot Mission under the Horizon Europe Work Programme 2025 (EUR 55 million),



collaboration was formalised through the **ISOS Subgroup of the Space Policy Expert Group**, involving 22 Member States and one EEA country. The year concluded with the **EU ISOS Strategic Forum**, held in December in Munich and co-organised by DG DEFIS and the German Federal Ministry of Research, Technology and Space, with support from the German Aerospace Center. The Forum provided a platform for exchanges on opportunities and challenges in the ISOS market, including civil and defence applications and related policy considerations.



CASSINI continued to play a crucial role in fostering a dynamic and competitive European space entrepreneurship ecosystem, supporting **space start-ups and SMEs** across the full **innovation and commercialisation value chain**.

CASSINI significantly strengthened the capacity of emerging companies to bring disruptive space technologies and services to market, thereby contributing to Europe's strategic autonomy and industrial competitiveness in the space sector. In 2025, 40 new companies joined the **CASSINI Business Accelerator**, benefiting from tailored business coaching and mentoring to raise their ability to generate commercial revenue. They also received pre-seed vouchers of EUR 75 000, providing critical early-stage financing to de-risk innovation and accelerate commercial traction. Through the **CASSINI Investment Facility**, implemented by the European Investment Fund, the Commission committed public investment (EUR 10–60 million ticket size) to four new private venture capital funds in 2025, significantly increasing the availability of risk finance for European space companies with 19 VC funds in total. **CASSINI** also delivered **matchmaking actions**, facilitating more than 1 200 structured one-to-one meetings between start-ups, investors and partners between 2022 and 2025. By 2025, CASSINI had supported over 750 space start-ups across Europe. Collectively, companies supported under the initiative attracted more than EUR 940 million in accumulated private investment by 2025.

To foster a future generation of skilled Europeans, a pilot edition of **CASSINI Space Camps** was organised in 2025, designed for young students aged 14–18. These camps aimed to spark interest in space and STEM subjects, encouraging students to pursue studies and career in the space industry. They directly impacted nearly 200 students, inspiring many educators and pupils alike. For adult space enthusiasts and entrepreneurs, **CASSINI Hackathons & Mentoring** offered a platform to expand their knowledge and skills in the application of space data and services. In addition, the **Space Career Launchpad** provided guidance for navigating a career in the space sector, featuring job opportunities for internships and entry-level positions, alongside valuable tips for acquiring relevant skills.

Maintaining Europe's autonomous, reliable and cost-effective **access to space** was a priority in 2025. DG DEFIS advocated a preference towards **European launch providers**, promoting competition and exploring joint procurement opportunities. Efforts to support critical ground infrastructure further enhanced the Union's resilience and competitiveness, while Europe consolidated its position as a key player in the global space industry.



The **Observatory of Critical Technologies** continued to assess technological dependencies and vulnerabilities in the space and defence sectors, ensuring that Europe remained at the forefront of innovation. This proactive approach to understanding and mitigating risks related to critical raw materials and technological dependencies will contribute to strengthening Europe's long-term strategic autonomy.

In January 2025, DG DEFIS launched the **Digital Space Ecosystem**, a web-based interactive platform designed to foster collaboration and innovation across Europe's space ecosystem. The platform provides functionalities including event and community management, domain-specific hubs and digital workspaces, and catalogues of organisations, projects, products, services, and test facilities. By the end of 2025, the platform had more than 1 600 registered users and 450 companies. Integration of the platform into the new EU Space website is planned for 2026.



Under the **Horizon Europe 2025 Work Programme** (Cluster 4), EUSPA topics focused on the **Space Data Economy** and innovative **space-based applications for a more resilient Europe**, while HaDEA topics covered **access to space**, enabling and **digital technologies for Earth observation and satellite communications**, the evolution of Copernicus services and their transition to artificial intelligence (**AI**), **critical space technologies, SST**, and **cooperation with Japan on quantum space data**. A key focus in 2025 was the inclusion of ambitious topics on **in-space operations and services (ISOS)**, with a view to preparing a future space mission under the next Multiannual Financial Framework. Research and innovation activities delegated to ESA continued, including **EGNSS** upstream and **IRIS²**, alongside continued support to CASSINI and IOD/IOV opportunities. Actions to support the development of space-related skills were also included.



In parallel, the **Space Partnership** supported the Commission in implementing initial topics on Earth observation, satellite communications, and new space transportation solutions, with a strong focus on digitalisation. Activities were guided by the **Strategic Research and Innovation Agenda (SRIA)** and a high-level roadmap, including contributions to the preparation of the Horizon Europe Work Programmes 2025–2027. A key milestone was the SRIA outreach event held in June 2025 to gather stakeholder feedback. The non-Union partner in the Space Partnership is Space AISBL, representing a significant share of the European space supply chain.

1.2. General Objective 2: A new era for European Defence and Security



Specific Objective 2.1: Reduce fragmentation of efforts and reinforce joint investments and cooperation within the EU defence industry and technological base, including SMEs and Mid-Caps – building a European Defence Union

DG DEFIS continued to lead the effective implementation of the **European Defence Fund (EDF)**, the **EU Defence Industry Reinforcement through Common Procurement Act (EDIRPA)** and the **Act in Support of Ammunition Production (ASAP)**, ensuring that these funding instruments deliver tangible improvements in European defence capabilities and industrial production capacity. DG DEFIS further **reduced fragmentation across the EU defence capability landscape** by fostering collaborative research and development and by investing in advanced technologies and high-end defence capabilities in critical areas such as drones, counter-UAS, air and missile defence, naval, land and air combat, space-based early warning and cyber defence.

In 2025, the **Joint White Paper for European Defence Readiness 2030** and the **Preserving Peace – Defence Readiness Roadmap** were major policy deliverables, outlining strategic priorities for long-term capability development. DG DEFIS supported pan-European Flagship Projects, including initiatives such as the **European Drone Defence Initiative**, the **Eastern Flank Watch**, the **European Air Shield** and the **Space Shield**, and promoted enabling elements such as enhanced **military mobility measures**.



The adoption of the **European Defence Industry Programme (EDIP)** marked an important step towards the progressive roll-out of its components, enabling DG DEFIS to strengthen the competitiveness and responsiveness of the European defence technological and industrial base (EDTIB), ensure the availability and **security of supply of defence products**, and promote cooperation with Ukraine in the recovery, reconstruction and modernisation of its defence industry.

The launch of the **BraveTech EU** initiative marked an important step towards fostering a **unified EU–Ukraine technology ecosystem** that enables scalable and high-impact innovation, ensuring that advanced European defence solutions can move swiftly from development to deployment.

In December 2025, the European Commission adopted the Regulation to incentivise defence-related investments under the EU budget (the **“mini omnibus”**), introducing targeted amendments to several EU programmes — including the European Defence Fund (EDF), Horizon Europe (in particular the European Innovation Council (EIC) Accelerator), the Digital Europe Programme (DEP), the Connecting Europe Facility (CEF) and the Strategic Technologies for Europe Programme (STEP) — to expand their scope and increase flexibility in supporting defence and dual-use investments. Crucially, the Regulation also established the possibility for Ukraine to be associated with the EDF, reinforcing EU–Ukraine defence cooperation and integrating Ukrainian actors into the European defence innovation ecosystem.

Large-scale EDF investments in Europe’s defence innovation ecosystem continued in 2025. To date, **EUR 5.4 billion** has been committed to defence research and development, supporting **225 collaborative projects under implementation**, with a strong and expanding pipeline translating cutting-edge technologies into deployable defence capabilities. This places the EDF among the three largest defence R&D investors in the Union and **accounts for around half of all collaborative defence research** spending at EU level.

The Commission was implementing **178 projects under direct management**, while **47 projects were executed under indirect management** through contribution agreements with the European Defence Agency (EDA) and the Organisation for Joint Armament Cooperation (OCCAR).

Concrete success stories illustrating Europe’s ambition in next-generation defence technologies are already emerging. These are translating into operationally relevant use cases for armed forces, including **EDF-supported capabilities that are currently visible on the battlefield in Ukraine**. In April 2025, the European Commission selected 63 **new defence industrial projects for funding under the EDF 2024 calls**. These projects focus on **critical technologies**, including artificial intelligence, quantum technologies and air defence, with the potential to drive transformative change in the European defence sector.

The **EDF Work Programme 2025**, published on 30 January 2025, allocating close to EUR 1 billion to support collaborative research, development and innovation in Europe’s defence sector. By 16 October 2025, the Commission had received a record 410 project proposals in response to the EDF 2025 calls for proposals, leading to funding awards exceeding EUR 1 billion. This marked an

unprecedented level of interest since the Fund was launched in 2021 and represented an **increase of 38% compared to 2024**, demonstrating the growing relevance and attractiveness of the EDF. To stimulate disruptive innovation and attract new market entrants, the EDF 2025 calls included dedicated funding under the **European Defence Innovation Scheme (EUDIS)**, allocating over **EUR 336 million to support SMEs and start-ups** in developing, prototyping and testing breakthrough defence technologies.

In 2025, **EUDIS** continued to strengthen support to non-traditional defence actors, with a particular focus on SMEs and start-ups. Two **EUDIS Hackathons** were organised across 16 locations in Europe, bringing together more than 800 participants. In 2025, EUDIS launched its **Business Accelerator and Matchmaking initiatives**. The first cohort of the EUDIS Business Accelerator supported 20 innovative companies. EUDIS Matchmaking delivered five in-person events in different EU countries and two online events, facilitating targeted connections between innovators, investors, corporates and end-users. The Defence Equity Facility, implemented through the European Investment Fund (EIF), signed investment agreements with five venture capital funds, strengthening access to finance for defence companies.

On 17 December 2025, the Commission adopted the **EDF Work Programme 2026**, earmarking EUR 1 billion for collaborative research and development in the field of defence. Commonly agreed critical defence capability priorities remain at the forefront, with half of the budget dedicated to **major capability developments**, including an EU endo-atmospheric interceptor, a main battle tank, a multiple rocket launcher and a semi-autonomous vessel.

In June 2025, the Commission published the **EDF Interim Evaluation**, which confirmed that the Fund has significantly reduced duplication, strengthened SME participation and fostered pan-European cooperation, thus contributing to the objectives of the regulation. In addition, the projects also addressed key capability gaps and through EUDIS also improved the agility of the defence supply and value chain. The findings also underlined the need for a substantial increase in defence R&D resources under the 2028-2034 Multiannual Financial Framework.

Through its incentives for cross-border cooperation, the EDF has made a major contribution to reducing fragmentation of the EDTIB. To date, 225 EDF projects involve **1 634 unique participants from 26 Member States and Norway**, including entities from regions where defence industry activity has traditionally been limited. The European Defence Fund positions the EU among the leading investors in defence R&D across Europe.

The EDF has also become a major entry point for small and medium-sized enterprises, mid-caps and research organisations. **SMEs accounted for 43% of unique participants** and receive around 20% of EU funding. Mid-caps represent 4% of participants and receive around 6% of funding. Thematic calls ensure that **SME involvement is embedded across the full programme**, beyond dedicated support measures. This trend continued to strengthen, with an increasing number of proposals submitted by SMEs and research organisations compared with the previous year.

The EDF continued to deliver strong value for money. A macroeconomic study conducted as part of the EDF Interim Evaluation indicates significant long-term impacts on the defence industry and the labour market. It estimates that **every euro invested is expected to generate more than EUR 4.5 in economic return by 2040**, even before accounting for spillovers into civilian technologies and wider industrial innovation, and to support the **creation of more than 35 000 jobs** across the Union by 2030. These projections are underpinned by the EDF's contribution to

reducing financial and technical risks for industry and to strengthening cross-border collaboration along defence supply chains.

DG DEFIS remains committed to reducing the administrative burden for both prospective and current beneficiaries, thereby **stimulating new investment in the European defence sector**. Under the EDF, **lump-sum financing** has been applied to the maximum extent possible, in particular in calls targeting innovative SMEs.

In parallel, work continued to **introduce simpler and leaner funding cycles** to facilitate the rapid integration of cutting-edge defence solutions into operational systems, including through agile testing and validation, enabling **accelerated implementation timelines** that keep pace with technological change.

Building on the findings of the EDF Interim Evaluation, DG DEFIS began pursuing **additional simplification measures** through to 2027, and in preparation of the next Multiannual Financial Framework.

On 27 May 2025, the Council of the European Union adopted the **Security Action for Europe (SAFE)**, the EU's financial instrument designed to provide financial support to Member States to accelerate defence readiness by enabling urgent and major investments in support of the European defence industry, with a focus on closing critical capability gaps. The SAFE instrument is an essential part of the **ReArm Europe – Defence Readiness 2030 Plan**.

SAFE will provide up to EUR 150 billion in competitively priced, long-maturity loans to Member States that have requested financial assistance for investments in defence capabilities. These loans will finance urgent and large-scale procurement efforts, ensuring that Europe's defence industry can deliver the necessary equipment when needed most. To maximise impact and reduce fragmentation, projects will be based on common procurement, involving at least one Member State benefiting from a SAFE loan and another Member State, as well as Ukraine or EEA-EFTA countries. Considering current geopolitical realities, SAFE also supports procurements by individual Member States to ensure timely delivery of critical assets. In September 2025, the Commission communicated tentative allocations to the 19 Member States that expressed interest in taking a SAFE loan, as the aggregated amounts of these expressions of interest significantly oversubscribed the EUR 150 billion available. On 30 November 2025, the 19 Member States submitted their National Defence Industry Investment Plans, comprising 691 defence projects in total, covering all 9 priority capability areas identified by the European Council. Based on the plans submitted, projects based on joint procurement accounted for 65% of the total available amount. The submitted plans were under assessment at the end of 2025.



Specific Objective 2.2: Develop a Single Market for Defence capable of delivering a full spectrum of innovative solutions, tools, space-enabled services, and technologies, reinforcing readiness of the EU's defence industrial and technological base to effectively anticipate, prevent, withstand or respond to any type of military contingencies, cyber-attacks or hybrid threats

As part of the **Defence Readiness 2030 agenda**, the **Preserving Peace – Defence Readiness Roadmap 2030**, adopted in 2025, translates the strategic objectives of the White Paper into concrete priority areas, milestones and sequencing for capability development across the Union. Building on this framework, DG DEFIS prepared the **EU Defence Industry Transformation Roadmap**, also adopted in 2025, which sets out concrete actions to accelerate the uptake of disruptive and emerging technologies, including AI-enabled systems, autonomy, space-based

capabilities and advanced manufacturing. The Roadmap aims to shorten development cycles and strengthen Europe's capacity to innovate at scale. In this context, DG DEFIS supported coordination across EU instruments to ensure that innovation support, industrial scaling and procurement incentives are better aligned with operational defence needs.

To foster a more competitive, resilient and integrated European defence industry, DG DEFIS advanced a comprehensive simplification agenda to reduce administrative burdens and **streamline access to EU defence funding**. In line with the **White Paper for European Defence Readiness 2030**, the Commission proposed major simplification initiatives through the **mini-omnibus** and the **Defence Readiness Omnibus**, adopted in June 2025.

Two key measures will already apply from 2026. First, the administrative burden linked to **company ownership verification has been significantly reduced** by extending the validity of Ownership Control Assessments (OCAs) from 18 to 36 months. Second, **EDF grant award criteria have been simplified**, notably for SMEs and disruptive non-thematic calls, to provide simpler, faster and more flexible support to innovators. These changes **reduce application documentation requirements by around half**, allowing companies to save substantial time and resources. Taken together, these measures are expected to generate total **cost savings exceeding EUR 100 million per year** for both industry and the Commission.

In addition, all EDF projects will be able to use the **Financial Support to Third Parties (FSTP)** mechanism, further facilitating the participation of start-ups and SMEs through simplified access to funding and easier integration into collaborative projects. Building on the EDF Interim Evaluation outcomes, the combined effect of these simplifications and the shorter duration of disruptive projects is expected to accelerate the integration of new defence solutions and enable more cost-efficient development of innovative technologies, with the potential to **shorten overall timelines by up to 28 months**.

Negotiations on the **European Competitiveness Fund (ECF)** with the co-legislators continued in 2025, and DG DEFIS will ensure sustained support for the defence sector within the ECF, covering research and development, ramp-up of production, joint procurement by Member States and closer cooperation with Ukraine.

DG DEFIS also worked to improve access to finance for defence companies, supporting faster, more flexible and more coordinated investment in **EDTIB**, in line with the objectives of the White Paper. This included efforts to streamline pathways for defence-related projects to access EU instruments and to remove practical obstacles limiting defence firms' participation in EU funding opportunities, consistent with the Commission's broader push to accelerate industrial ramp-up.



DG DEFIS strengthened support for Ukraine's association with EU initiatives to develop defence capabilities and to integrate the Ukrainian defence industry into the EDTIB. A major milestone was reached when the co-legislators concluded and the EU adopted the **European Defence Industry Programme (EDIP) Regulation**, with the Council giving final approval on 8 December 2025. EDIP provides EUR 1.5 billion (2025–2027), including EUR 300 million earmarked for a dedicated Ukraine Support Instrument (USI) to modernise Ukraine's defence industry and foster integration into the wider European defence industrial ecosystem.



DG DEFIS played a central role in advancing the **military mobility agenda** through the preparation of the **Joint Communication on Military Mobility**, adopted in November 2025. The Communication introduces a readiness-driven approach focused on speed, scale and simplification of military movements across the EU. Building on this framework, DG DEFIS led the drafting of the **Proposal for a Regulation on Military Mobility**, adopted at the same time, aimed at removing remaining legal and administrative barriers through harmonised rules for cross border permits and transport operations, EU level emergency framework and access to transport capabilities, thereby strengthening military mobility as a core enabler of European defence readiness.

Furthermore, DG DEFIS, responsible for civil aeronautics, continued to advance the work of the **Alliance for Zero-Emission Aviation (AZEА)**. Building on the Alliance's Vision report ("Flying on electricity and hydrogen in Europe", June 2024), DG DEFIS steered work in 2025 towards a detailed **ecosystem Roadmap**. At the 6th AZEA General Assembly in October 2025, a first draft of the Roadmap was presented, with final adoption by the Alliance foreseen in early 2026, reflecting progress in regulatory, infrastructure and operational enablers for zero-emission aviation.



Specific Objective 2.3: Further develop synergies between Space and Defence

The **Galileo Programme** continued preparations in 2025 for the declaration of the **Initial Operational Capability (IOC)** of the **Public Regulated Service (PRS)** in the first half of 2026. PRS will provide a resilient and secure positioning, navigation and timing (PNT) capability for governmental and defence users. DG DEFIS advanced the accreditation process in close coordination with Member States. In parallel, recognising the impact of radio frequency interference on GNSS performance and availability, DG DEFIS included a **Radio Interference Monitoring Service** in the Commission proposal for a European Competitiveness Fund. Development of the **Galileo Emergency Warning Satellite Service** also progressed, with the objective of enabling national civil protection authorities to disseminate timely and accurate alerts to citizens, in line with the EU Preparedness Union Strategy.

In 2025, the governmental services to be provided by **IRIS²** continued to be developed to support military and security users by providing secure and resilient communications through satellites in low Earth orbit (LEO) and medium Earth orbit (MEO). During the year, DG DEFIS organised several dedicated workshops with Member States to raise awareness of IRIS² capabilities and engage the military community, including events held in Germany, the Netherlands, Spain, Belgium, Poland, and Norway, some of which were co-organised with the European Defence Agency (EDA).



EU SST
Space Surveillance and Tracking

The **EU Space Surveillance and Tracking (EU SST)** system has strong links with defence as it is composed of EU, governmental and commercial capabilities including a network of sensors in which military assets are major contributors. Activities by Member States in **Space Domain Awareness (SDA)** also benefit from EU SST activities both at Research & Development and operational levels, e.g. through enhanced capabilities to detect intentional and potentially malicious actions in space. Under the **EU Space Strategy for Security and Defence**, DG DEFIS in cooperation with the EEAS and Member States initiated discussions to improve the synergies between SST and SDA activities and to prepare the content of potential future SST governmental services.



In 2025, the **Copernicus Emergency Management Service** and the **Copernicus Security Services** continued to support actors responding to natural hazards, man-made emergencies, security situations, and humanitarian crises, as well as preparedness and recovery activities. The Copernicus Emergency Management Service recorded **68 rapid on-demand activations during the year**, demonstrating its ability to provide timely support to Member States in crisis situations. In parallel, preparatory work advanced on a proposed **Earth Observation Governmental Service (EOGS)**, which would provide secure, reliable, timely and targeted satellite sensing, building on existing Copernicus experience in emergency management and security, in line with the EU Preparedness Union Strategy. Two studies on possible implementation were finalised in 2025, and a pilot under the Copernicus Security Service was initiated.



The **Observatory of Critical Technologies (OCT)**, co-led by DG DEFIS and DG JRC, continued to monitor and analyse critical technologies, related developments and supply chains in space and defence sectors. It identified critical technologies for space, security, defence and public order, providing regular analyses and risk assessments. Based on these assessments, the Commission issued regular **EU-classified reports** discussed with EU Member States. These reports guide EU policy development, research & development, and investment, including the EU Space R&D Programme and the European Defence Fund.

On the DEFIS side, implementation of all actions under the **EU Space Strategy for Security and Defence** were completed in 2025, while preparatory work began on the next phase under the **EU Space Shield**. To enhance coherence and situational awareness, **monthly staff-level coordination meetings** were established across directorates to exchange information on ongoing initiatives. In parallel, **cross-directorate participation in tender evaluations** facilitated the pooling of expertise and ensured comprehensive assessments. In addition, the **European Competitiveness Fund Regulation** introduced defence-relevant services across all space components, while work progressed to systematically integrate a **space dimension into all European Defence Fund calls**.

1.3. General Objective 4: Sustaining our quality of life: food security, water and nature

Specific Objective 4.1: Provide reliable EU space-based data and services as cornerstones for the monitoring of, and transition to, climate-neutrality and ecological sustainability as well as preparedness and crisis management thanks to the EU Space Programme



In 2025, DG DEFIS increased the role of space technology in **environmental monitoring and crisis preparedness**. The **Copernicus programme** deployed **next-generation Sentinel satellites**, significantly boosting the EU's capabilities to track environmental changes, monitor natural disasters, and support climate adaptation policies.



DG DEFIS continued to spearhead **the modernisation of Copernicus services**, integrating **AI-powered analytics, enhanced data access and improved service delivery** for sectors such as **agriculture, forestry and emergency** response. Through the **six Copernicus Services and the Thematic Hubs**, the wealth of satellite and in-situ data is transformed into timely and actionable information through enhanced processing and analysis. Copernicus Services provide datasets that are comparable, searchable and interoperable, facilitating the monitoring of trends and changes. Notably, Copernicus data and information are designed to support “policy readiness”, maximising the impact of Earth observation for EU and national policy implementation. The Knowledge Centre on Earth Observation (KCEO) that is jointly implemented by DG DEFIS and DG JRC, serves as the operational interface with policy users.

In 2025, Copernicus services supported key EU policy priorities. The **Copernicus Land Monitoring Service (CLMS)** initiated the development of a Water Hub, as proposed in the Water Resilience Strategy. The **Copernicus Marine Environment Monitoring Service (CMEMS)** contributed to the third UN Ocean Conference, where the Commission President presented the Ocean Pact and unveiled a prototype of the Digital Twin Ocean, to which Copernicus is a core contributor. The **Copernicus Atmosphere Monitoring Service (CAMS)** delivered air quality status data for 2024 covering the main indicators required under the revised Ambient Air Quality Directive. The Copernicus Climate Change Service confirmed 2024 as the warmest year on record in April 2025 and continued to serve as a reference source on climate change.

In parallel, Copernicus further strengthened crisis management capabilities by providing near-real-time situational awareness in support of disaster response, security, and humanitarian operations.

1.4. General objective 6: A global Europe: Leveraging our power and partnerships



DG DEFIS enhanced its collaboration with the **United Nations Office of Outer Space Affairs (UNOOSA)** to advocate a pragmatic, bottom-up approach to **space traffic** coordination in light of increasing space congestion. In 2025, the first **UN Space Sustainability Days** were organised as a joint DG DEFIS–UNOOSA capacity-building workshop reaching around 200 COPUOS delegates. The event highlighted the importance of space safety and sustainability as well as the need for clear and effective communication channels through hands-on practical scenarios. The conclusions of the workshop fed into deliberations of the Scientific and Technical Sub-Committee of COPUOS and contributed to the establishment of a COPUOS STSC Expert Group on space traffic coordination. DG DEFIS also continued to **promote EU SST Collision Avoidance services** and began providing **EU SST Re-Entry services** to non-EU users. Offering these critical services free of charge to space operators worldwide is vital for enhancing space safety and sustainability for all space actors.

DG DEFIS continued to encourage **international partnerships and collaboration** and engaged with interested third countries to explore possible future cooperation. Several third countries have shown significant interest in the **EU’s secure connectivity programme** and the **GOVSATCOM component of the EU space programme**. In this context, formal negotiations continued with Norway and Iceland, and by the end of 2025, both negotiated agreements were close to finalisation, pending the adoption of a Council decision, with a view to signing the agreements in

early 2026. In 2025, the Commission also proposed that Member States authorise the opening of formal negotiations with Ukraine for its participation in the secure connectivity programme and the GOVSATCOM component of the EU space programme. In 2025, the EU reached a landmark agreement enabling Canada to participate in the Security Action for Europe (SAFE) defence investment instrument, making it the first non-European country to join this EUR 150 billion joint procurement framework and deepening transatlantic defence cooperation.

With a view to implement the criteria for a strengthened common control approach on the reliability of performance information on EU financial programmes, DEFIS has put in place an assurance process based on the control framework and the procedures to identify possible significant weaknesses. No issues were identified.

2. INTERNAL CONTROL AND FINANCIAL MANAGEMENT

Management monitors the functioning of the internal control systems on a continuous basis and carries out an objective assessment of their efficiency and effectiveness. In annex 7, there is a list and details of the reports that have been considered. The results of the above assessment are explicitly documented and reported to the Director-General.

2.1. Control results

Management uses control results to support its assurance and reach a conclusion about the cost-effectiveness of those controls, meaning whether the right balance between the following elements is achieved:

- **Effectiveness** The level of error found, based on the controls carried out.
- **Efficiency** The average time taken to inform or pay.
- **Economy** The proportionality between the costs of controls and the funds managed.

2.1.1. Overview of the budget and relevant control systems (RCS)

DG DEFIS transactions are carried out under both direct and indirect management modes. The following table and chart give an overview of the main types of expenditure with their respective percentage in the total payments made in 2025. The total amount paid in 2025 amounts to EUR 3 177 187 589 as shown in the table below.

Heading	Managem nt mode	Relevant Control System	Type of expense	Payments 2025	% on total
Heading 1	Direct managem t	RCS 4	Grants	10,791,271	0.3%
		RCS 3	Procurement / Experts	117,179,251	3.7%
		RCS 3	EUSPA subsidy	82,604,025	2.6%
	Indirect managem t	RCS 1	H2020 EUSPA	-	0.0%
		RCS 1	HE EUSPA	17,775,551	0.6%
		RCS 1	Space	1,945,006,953	61.2%
Total Heading 1				2,173,357,051	68.4%
Heading 5	Direct managem t	RCS 4	Grants	794,170,239	25.0%
		RCS 3	Procurement / Experts	77,346,546	2.4%
	Indirect managem t	RCS 1	Budget entrusted to other entities	132,313,753	4.2%
Total Heading 5				1,003,830,538	31.6%
Total DG DEFIS				3,177,187,589	100.0%
Direct Management: Time to pay; time to grant; overall cost of control; no OLAF cases; clean opinion on accounts; detected or estimated error rate.					
Indirect Management: CA objectives achieved; time to pay; overall cost of control; no OLAF cases; clean opinion on accounts; detected or estimated error rate.					

The relevant control system (RCS) used in DG DEFIS focuses on two major areas of expenditure: RCS 1 Budget entrusted to other entities through indirect management and RCS 4 Grants. The entrusted entities undergo an assessment of their internal control systems, rules and procedures before the signature of any contribution agreement (Art. 157.3 - Financial Regulation). In addition, the Commission performs ex-ante operational and financial controls on periodic reports and on accounting data and assets. Finally, ex-post audits are regularly performed on the annual costs declared by each entrusted entity to support cost recognition ('clearings').

For direct management on heading 5, the interim and final payments of grants are controlled with ex ante desk checks. An audit plan will be defined for ex-post audits, after reception of a certain number of final payments. More details are provided in Annex 6.

The main space assets, for which adequate controls have been developed under RCS 2 (see Annex 6) are related to the Copernicus satellites, the Galileo satellites and ground segments, and the EGNOS ground segment.

The total asset value on the Balance Sheet at end 2025 is EUR 18.122 billion. The non-current assets amount to EUR 10.702 billion of intangible assets, property plant and equipment.

The property, plant and equipment balance is the most material in DEFIS Balance Sheet. It includes the value of the assets generated by the implementation of the EU space programme (namely: Galileo, EGNOS, Copernicus, Secure Connectivity and GOVSATCOM). By end of 2025, the gross assets values for the different components of this programme are:

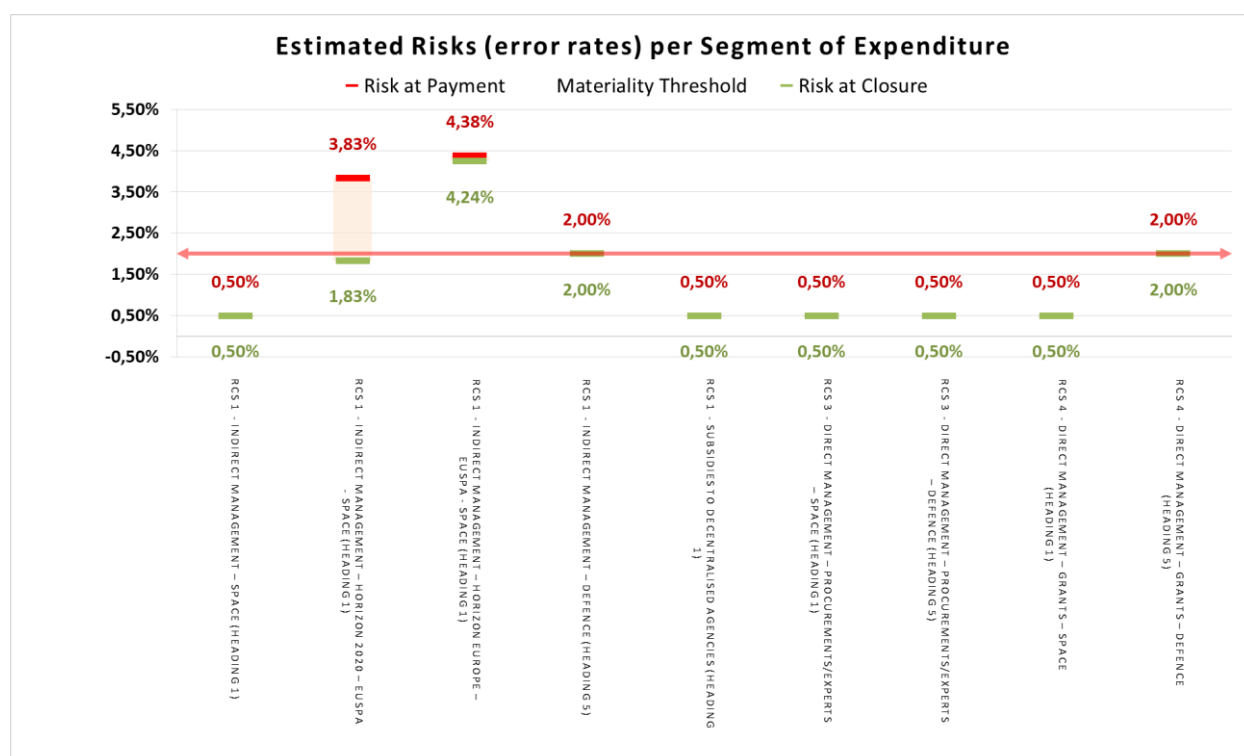
- EUR 9.107 billion for Galileo
- EUR 6.461 billion for Copernicus
- EUR 777 million for EGNOS
- EUR 454 million for Secure Connectivity
- EUR 9 million for GOVSATCOM

The depreciation charge related to these space assets amounted to EUR 682 million for 2025.

Regarding the controls on the non-expenditure items, the controls performed during 2025 on the data provided by ESA and EUSPA for the valuation of the space assets were maintained. Regarding the programme components EGNOS, Copernicus and Galileo, specific workshops on the operational stages of assets development were organised by DG DEFIS to discuss per programme the costs to be capitalised, the stages of operational development as well as the state of play regarding the inspections of these assets. These inspections aim at verifying primarily the precise location and configuration of assets and secondly the adequate safeguarding of assets. For GOVSATCOM the amount did not warrant the organisation of a dedicated workshop while the valuation of Secure connectivity was performed on the basis of contractual milestones achievement.

2.1.2. Effectiveness of controls

a) Assessment of control results per segment of expenditure



In 2025, the operational units did not signal any control issues regarding the work implemented by the entrusted entities (65.41 % of the budget). Through the monitoring and supervision work, which included regular contacts and analysis of periodic reports as well as ex-post audits, no legality and regularity risks were identified. The outcome of the ex-post audits on Space is an error rate consistently lower than 0.5%, which is the threshold prudentially used in the table above, while in the Defence domain consolidate results are not yet available. Considering the novelty of the Defence programmes and a higher risk in the grants management an estimated risk at payment / closure of 2% is considered. For more details on the specific actions carried out see Annex 6 and 13.

All DG DEFIS' programmes are multi-annual and consequently the error rates should be considered within a time perspective. Specifically, the implementation of the audit results over time will tend to lower the cumulative residual error rate.

Horizon 2020 Framework Programme

The error rates based on the audit work for Horizon 2020 Framework Programme for Research and Innovation on 31 December 2025 are:

- **Cumulative representative detected error rate** for the Framework Programme: **3.83%** ⁽⁶⁾
- **Cumulative residual error rate** for the Framework Programme: **1.78%** (1.83% for EUSPA).

In 2025 the cumulative residual error rate for Horizon 2020 for the grants managed directly by DG Research and Innovation is calculated at 2.00%, which is at the materiality threshold level.

The relatively stable level of error in Horizon 2020 grants is linked to the applicable funding model, which is based on the reimbursement of eligible actual costs. Most of the errors continue to relate to incorrect claims for personnel costs that are mainly due to beneficiaries' lack of thorough understanding of the inherently complex rules.

Since R&I Framework Programmes are multi-annual, the error rates, and the residual error rate in particular, should be considered within a time perspective. Specifically, the implementation of the audit results over time has proven to be effective in 'cleaning' the budget of any ineligible amounts declared by and paid to beneficiaries. This 'cleaning effect' becomes even more relevant given the extension of audit findings to non-audited grants of the same beneficiary.

These error rates are calculated on the basis of the audit results available when drafting the Annual Activity Report. The yearly fluctuation of the detected error rate in H2020 exhibits no identifiable correlation with the maturity of the programme.

There is evidence that the simplifications introduced under Horizon 2020, along with the ever-increasing experience, helped in reducing the number of errors made by the beneficiaries, especially when compared to the Seventh Framework Programme where the error rate was higher and varied from close to 5% to around 5.5% over time. Notwithstanding these efforts, beneficiaries still make errors. Simplification measures for actual costs under H2020 have however reached their limits. Actions carried out to address these weaknesses are reported in annex 7.

⁽⁶⁾ Based on the 930 representative results out of the 948 expected in the six Common Representative Samples.

Horizon Europe Framework Programme

2025 was the fifth year of implementation of the Horizon Europe Framework Programme. Horizon Europe extends the use of simplified cost options and lump sum funding, the latter having an adapted approach to ex-post control.

The error rates based on the results of ex-post controls for the Horizon Europe Framework Programme for Research and Innovation on 31 December 2025 are:

- **Cumulative representative detected error rate** for the Framework Programme: **4.38%** ⁽⁷⁾
- **Cumulative residual error rate** for the Framework Programme: **4.05%** (4.24% for EUSPA).

These error rates are calculated based on the ex-post financial audits and ex post technical reviews results available when drafting the Annual Activity Report. Due to the still relatively small number of completed audits and technical reviews, the error rate calculation is highly sensitive to extreme results.

As for H2020, most of the errors continue to relate to incorrect claims for actual personnel costs that are mainly due to beneficiaries' wrongful application of the Horizon Europe rules, despite the introduced simplifications. Newcomers and Small and Medium Enterprises (SMEs) remain those more prone to errors in comparison to the more experienced/large size beneficiaries.

As for H2020, the Horizon Europe error rates—and in particular the residual one—should be considered within a time perspective. The implementation of the audit results and extension of audit findings over time will tend to lower the cumulative residual error rate, thereby increasing its difference with the representative detected error rate.

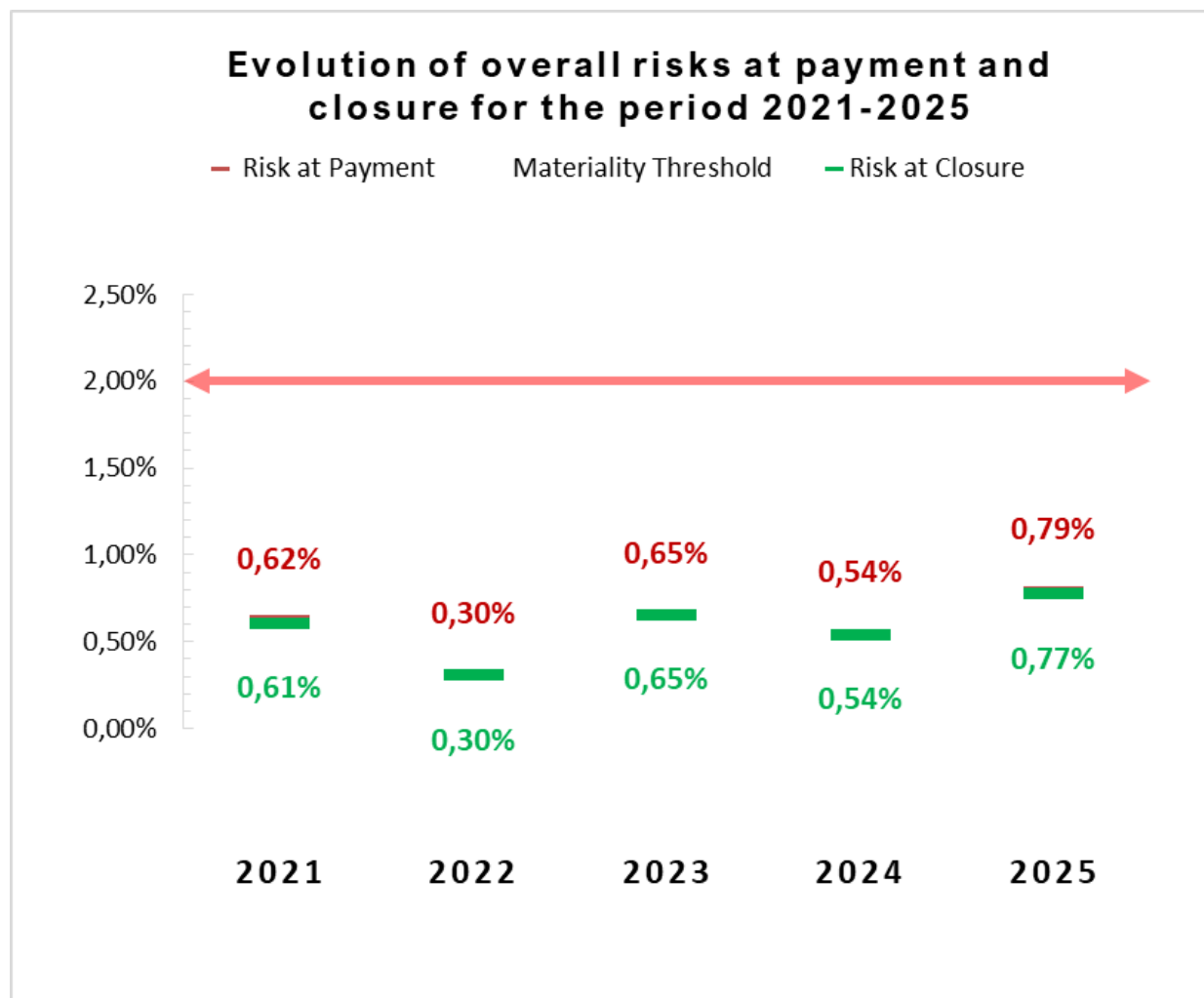
Although there is an action plan to address some causes of errors ⁽⁸⁾, DG RTD will issue a reservation in their Annual Activity Report as the cumulative residual error rate is, at the end of 2025, above the 2% materiality threshold.

The reservation in the declaration of assurance for the Horizon Europe and Euratom expenditure is addressed in annex 9.

⁽⁷⁾ Based on the 89 representative audits and 29 representative technical reviews out of the 177 expected audits and 30 technical reviews in the first Common Representative Sample.

⁽⁸⁾ See annex 7.

b) Estimation of the overall risk at payment and risk at closure



The estimated overall risk at payment for 2025 expenditure is the Authorising Officer by Delegation (AOD) best conservative estimate of the amount of relevant expenditure during the year, that is not in conformity with the contractual and regulatory provisions applicable at the time the payment was made. A proportion of the underlying errors will be corrected in subsequent years and until the end of the programming cycle, corresponding to the conservatively estimated future corrections for 2025 expenditure. The difference between the risk at payment and the estimated future corrections results in the estimated overall risk at closure ⁽⁹⁾.

There is a stable trend since 2020, without significant changes and always below the materiality threshold of 2%, mainly due to the control strategy in place.

For an overview at Commission level, the departments' estimated overall risk at payment, estimated future corrections and risk at closure are consolidated in the AMPR.

⁽⁹⁾ This is the AOD's best, conservative estimation of the expenditure authorised during the year that would remain not in conformity of applicable regulatory and contractual provisions by the end of implementation of the programme.

c) Quantitative benefits of controls: Preventive and corrective measures

With its ex-ante and ex-post controls, DG DEFIS has an effective mechanism in place for detecting and correcting errors, reaching in total EUR 9 million of preventive and corrective measures for 2025. Ex-ante controls resulted in preventive measures of EUR 9 million and ex-post controls resulted in zero EUR of corrective measures. No recovery orders are drawn up for the latter due to the multiannual aspect of the contribution agreements. In 2025, due to the transition to SUMMA, only preventive measures exceeding EUR 500 000 are reported.

Compared to 2024, with EUR 7.824 million and EUR 0.284 million respectively, there is an increase, that is attributed to a single credit note drawn up for costs reported for an incomplete work package declared under a grant agreement.

d) Assessment of control for non-expenditure items

The valuation of assets to be capitalised is performed by space programme component and is based mainly on the analysis of cost reported by the entities (EUSPA and ESA) in their Annual Implementation report complemented in one case by an accounting extract from ESA for the Copernicus assets. The controls put in place are complex, detailed and are done contract by contract often down to the milestone of each contract. The transfers from assets under construction to fixed assets are based on facts: they are performed for space segment on the date of In Orbit Testing Review positive conclusion while for ground segment it is done when the ground segment version is declared operational.

The asset safeguarding is assessed as satisfactory as the space segment assets (satellites) are operational in space while the ground segments assets are operated for most of them from secured premises whose access policy is strictly enforced.

A multiannual plan of site inspections is rolled out by the entrusted entity (EUSPA) or by the service provider responsible for the management of operation. Relevant reports did not reveal any issues affecting the adequate safeguarding of assets. Technical configuration files of the system in operations are maintained and formal procedures of prior authorisation of disposal are in place.

e) Fraud: prevention, detection, and correction

DG DEFIS has developed and implemented its own anti-fraud strategy since 2021 based on the methodology provided by OLAF. It will be updated every three years and was last updated on 11 July 2025 following a fraud risk assessment. Its implementation is being monitored and reported to the management regularly. All necessary actions, except the ones with an ending date in 2026 or beyond, have been implemented. The implementation of outstanding actions is in progress. Their completion is expected at the original deadline.

DG DEFIS is not a lead (or co-lead) service for actions of the Commission Anti-Fraud Strategy Action Plan of July 2023. DG DEFIS did not have any OLAF financial recommendations during the period 2020-2025 related to anti-fraud. Corrective measures based on OLAF recommendations are

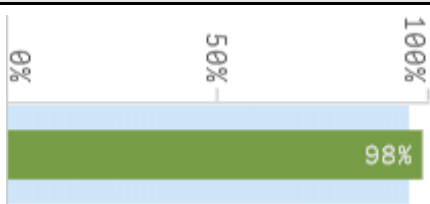
reported on in the context of annual monitoring exercises conducted by OLAF, in accordance with Article 11 of Regulation 883/2013 (10).

Based on the available information, DG DEFIS has reasonable assurance that the anti-fraud measures in place are overall effective.

2.1.3. Efficiency of controls

DG DEFIS manages a large portfolio of heterogeneous activities in the defence industry and space sectors, involving different ways of implementation. Based on an assessment of the most relevant key indicators and control results, DG DEFIS has assessed the efficiency of the control system and reached a positive conclusion.

Timely payments: In 2025, DG DEFIS ensured efficient processing of payments within the legal deadline. The corporate indicator for timely payments, reaches 98%. This is achieved through dedicated follow-up tables, which are regularly monitored, for all the incoming invoices and payment requests during the year.

Timely Payments	DEFIS Score	EC Score				
 A horizontal bar chart with a scale from 0% to 100% in 50% increments. A green bar represents the 98% achievement. The text '98%' is written inside the bar. <table><tr><th>Indicator</th><th>Value</th></tr><tr><td>Timely Payments</td><td>98%</td></tr></table>	Indicator	Value	Timely Payments	98%	98%	95%
Indicator	Value					
Timely Payments	98%					

The transition in 2025 to the Commission’s new accounting system, SUMMA, has required the adjustment to a new system and has impacted budget implementation tasks, processes and financial management activities, particularly during the first part of the year. This has required careful management to ensure the same data quality as in previous years. In some cases, this may have resulted in lower performance for some standard financial indicators such as the timely payments (see Annex 4).

Procurements: The average time to publication in 2025 is 202 days which is due to the high technical nature of the subject of the calls. Consequently, the proposals require a thorough evaluation by various parties.

Grants: In 2025, we signed the grant agreements of the EDF and ASAP calls of 2024, with an average time to grant of 279 days, significantly lower than the year 2024 result (316 days). The decrease is linked to the use of more streamlined procedures, allowing for a quicker closure of the Grant Agreement Preparation compared to 2024.

(10) [REGULATION \(EU, EURATOM\) No 883/2013 OF THE EUROPEAN PARLIAMENT AND OF THE COUNCIL of 11 September 2013 concerning investigations conducted by the European Anti-Fraud Office \(OLAF\) and repealing Regulation \(EC\) No 1073/1999 of the European Parliament and of the Council and Council Regulation \(Euratom\) No 1074/1999](#)

The signature of the EDF grants takes an important amount of time due to the double comitology, the security classification, the high complexity of the programme and the validation/input from Member States during grant agreement preparation.

2.1.4. Economy of controls

The cost of controls at Commission level is assessed by the cost of the different control stages. The assessment for each management mode is obtained from the ratio between these costs and the total amount paid in the year for the related RCS. The cost of control for assets is not reported as they are included in the supervision costs of entrusted entities.

DG results for the reporting year - Direct management		
Common indicators on cost of control	Grants	Procurements
Percentage of overall cost of control of grant / procurement process in comparison to total expenditure <u>executed</u> during the year	1,36%	
	1,11%	2,50%
Overall cost of control (grant/procurement)	€ 8.916.090	€ 4.556.890
Average number of ongoing contracts (grant/procurement) managed per full time equivalent	3,99	4,16
Percentage of costs of control related to the evaluation and selection procedure in comparison to the total value of grants / procurement contracted	0,43%	4,8%
Average value of ongoing grant / procurement agreements managed per full time equivalent	€ 71.419.910	€ 30.037.136
Average project management costs per ongoing grant / procurement agreement	36.996,22	€ 42.588
al Costs of ex post audits	€ 0	

DG results for the reporting year - Indirect management											
Common indicators on cost of control	International Organisations and other entrusted entities										
Overall cost of control of supervision process	€ 5.568.990										
Percentage of overall cost of control of supervision process in comparison to the total annual amount delegated excluding any remuneration paid	0,30%										
Remuneration fees paid (to international organisations, agencies, EIF)	€ 308.299.798										
	ESA	Eumetsat	ECMWF	Mercator	EEA	Frontex	EMSA	Satcen	EUSPA	EDA	OCCAR
	€ 216.585.986	€ 11.205.664	€ 4.064.176	€ 2.413.000	€ 1.904.000	€ 300.000	€ 169.780	€ 457.879	€ 67.879.748	€ 2.388.992	€ 930.573
Percentage of cost of remuneration fees paid to entrusted entities in comparison to the total annual amount delegated excluding any remuneration paid	16,49%										
Percentage of costs of control related to the establishment or prolongation in comparison to the total annual amount delegated	0,02%										
Percentage of costs of control related to the reporting and subsequent monitoring of the execution in comparison to all payments executed	0,64%										
Total cost of ex post audits	€ 300.800										

The overall costs of control for direct management have slightly increased (from 1.16 % to 1.35%) due to the increase of activities related to defence programmes and the secured connectivity concession contract that has been awarded only late 2024. The cost of control for indirect management remained stable and below 0.5%.

Details of the estimated cost of controls related to shared/pooled control activities carried out by REA are reported in the annual activity report of REA.

The control strategy for direct and indirect management is cost-effective overall, as its benefits outweighs the cost of controls considering the major responsibilities of DG DEFIS.

The 'remuneration fees' paid to international organisations is stable compared to last year.

Annex 7 table Y provides ratios of the payment amounts checked per RCS and per heading.

2.1.5. Conclusion on the cost-effectiveness of controls

Based on the most relevant key indicators and control results reported above, DE DEFIS has assessed the effectiveness, efficiency and economy of its control system and reached a positive conclusion on the cost-effectiveness of the controls for which it is responsible.

DG DEFIS is of the opinion that the current control system, control strategy within a stable control environment is well suited for fulfilling the relevant control objectives efficiently and at a reasonable cost. It represents a good balance between the invested efforts (internal control costs and remuneration fees), the obtained error rates (effectiveness of controls) and delivery of objectives (efficiency). The declaration of assurance (Section 2.5) includes no reservation for the expenditure categories or control systems concerned.

2.2. Audit observations and recommendations

This section sets out briefly the state of play for all audit observations and recommendations reported by auditors related either to performance aspects or to internal control and financial management. Further details for IAS and ECA audits can be found in Annex 8.

Where an audit has detected weaknesses affecting an internal control principle or the department's assurance, a detailed analysis is provided further below in section 2.3 and, where applicable, the incidence on the AOD's assurance is presented in section 2.4, accordingly.

Internal Audit Service

Reported	Audit Title	Accepted Recommendation (critical or very important)	State of play in 2025	Impact on the assurance for 2025
2025	IT governance and IT security management in DG DEFIS	Very important: Strengthen IT security management framework		

State of play



Action plan implemented or awaiting review from IAS



Action plan implementation is ongoing



Preparation of the action plan

Assurance



No impact on the assurance



Impact on the assurance

European Court of Auditors

Reported	Audit Title	Accepted Recommendation	State of play in 2025	Impact on the assurance for 2025
2025	EU military mobility – Full speed not reached due to design weaknesses and obstacles en route	6		

State of play



Action plan implemented



Action plan implementation is ongoing



Preparation of the action plan

Assurance



No impact on the assurance



Impact on the assurance

2.3. Assessment of the effectiveness of internal control systems

The Commission has adopted an Internal Control Framework based on the highest international standards. ⁽¹¹⁾

DG DEFIS uses the organisational structure and the internal control systems suited to achieving its policy and internal control objectives in accordance with the internal control principles and has due regard to the risks associated with the environment in which it operates. To implement the Space Programme, DG DEFIS largely relies on entrusted entities and regulatory agencies and works in close cooperation with various partners and international organisations. In support of the defence industry, the Commission has increased its effort with the adoption of the EDF in 2021, followed by the adoption of the ASAP and EDIRPA regulations in 2023 and of the EDIP regulation in 2025, which are mainly implemented through direct management. Concerning the overall state of the internal control system, DG DEFIS complies with the three assessment criteria for effectiveness, i.e. (a) staff has the required knowledge and skills, (b) systems and procedures are designed and implemented to manage the key risks effectively, and (c) any possible instance of ineffective controls is timely analysed and corrected. Every year, the Acting Director in charge of Risk Management and Internal Control reports on the state of internal control and provides her opinion to the Director-General, considering any possible recommendation received either from IAS or ECA. At the end of 2025, all the recommendations received were either closed or implemented and waiting for a follow-up, with exception of the ones related to audits concluded at the end of the year for which an action plan is ongoing.

DG DEFIS has assessed its internal control system during the reporting year and has concluded that it is effective, and the components and principles are present and functioning as intended.

2.4. Conclusions on the assurance

The above-mentioned approach provides sufficient guarantees as to the completeness and reliability of the information reported and results in a comprehensive coverage of the budget delegated to the Director-General of DG DEFIS.

In conclusion, based on the elements reported above, management has reasonable assurance that, overall, effective controls are in place and working as intended; risks are being appropriately monitored and mitigated; and necessary improvements and reinforcements are being implemented. The Director-General, in his capacity as Authorising Officer by Delegation has signed the Declaration of Assurance.

⁽¹¹⁾ The Committee of Sponsoring Organizations of the Treadway Commission Internal Control Integrated Framework, the golden standard for internal control systems.

2.5 Declaration of Assurance

Declaration of Assurance

I the undersigned,

Director-General of DG DEFIS

In my capacity as authorising officer by delegation

Declare that the information contained in this report gives a true and fair view ⁽¹²⁾.

State that I have reasonable assurance that the resources assigned to the activities described in this report have been used for their intended purpose and in accordance with the principles of sound financial management, and that the control procedures put in place give the necessary guarantees concerning the legality and regularity of the underlying transactions.

This reasonable assurance is based on my own judgement and on the information at my disposal, such as the results of the self-assessment, ex-post controls, the work of the Internal Audit Service and the lessons learnt from the reports of the Court of Auditors for years prior to the year of this declaration.

Confirm that I am not aware of anything not reported here which could harm the interests of the institution.

Brussels, 31 March 2026

E-signed

Timo Pesonen

⁽¹²⁾ True and fair in this context means a reliable, complete and correct view on the state of affairs in the DG/Executive Agency.

3. A MODERN AND SUSTAINABLE PUBLIC ADMINISTRATION

3.1. Human resource management



Given the global geopolitical context and the urgent implementation of new defence industry programmes, DG DEFIS experienced a significant staff increase of 26.5% in 2025. This expansion required a reorganisation of the DG's structure in April, to better align with organisational needs and ensure optimal operational readiness for the challenges ahead.

By 31 December 2025, DG DEFIS, comprising 5 Directorates, 1 Task Force and 17 units, had grown to 392 staff members. The workforce composition included 49% officials, 11% of temporary agents, 16% of contractual staff and 16% of Seconded National Experts (SNEs). Through strategic recruitment, DG DEFIS strengthened its teams with professionals recruited via specialised EPSO competitions, alongside the essential SNEs, contractual and temporary agents.

Throughout this period of growth, the tailored local HR strategy maintained a strong focus on workforce planning and learning, ensuring that DG DEFIS retained the appropriate expertise. Following the reorganisation, a much-needed Away Day was organised in June 2025. The event proved instrumental in enhancing staff relationships, fostering a shared understanding of objectives, promoting inter-unit collaboration and boosting staff engagement.

Internal communication efforts, guided by a newly customised strategy based on staff survey results, ensured that the expanding staff remained well-informed. Tools such as the weekly "DEFIS BUZZ" newsletter, daily media monitoring, knowledge-sharing events such as DEFIS Labs & DEFIS HR Labs, and regular updates by the Director-General played a key role in promoting transparency and collaboration. Additional activities, including a summer party, winter cocktail, "Coffee Roulette" exchanges, increased publication of internal videos, and the reopening of the cafeteria and restaurant in BREY building, further strengthened team cohesion.

In 2025, newcomers were welcomed through two DEFIS induction seminars, providing a comprehensive overview of DG DEFIS, facilitating seamless integration and fostering valuable internal networks. To further enhance onboarding, DG DEFIS launched the DEFIS Buddy scheme in May 2025, systematically pairing newcomers with a buddy upon arrival. This peer-to-peer support mechanism ensures a welcoming start, provides practical guidance and fosters a sense of belonging from day one. Newcomers also received a personal welcome letter signed by the Director-General and a DEFIS welcome pack.

DG DEFIS remained committed to **talent retention, enabling individuals** to unlock their full potential by aligning competencies and aspirations with corporate needs. To further promote cross-directorate cooperation, DG DEFIS launched a new internal job-shadowing programme, designed to enhance professional skills and broaden staff perspectives. Thematic task forces continued their impactful work, particularly in areas such as hybrid threats, critical raw materials, and the White Paper on the future of Defence.

Special attention was given to gender balance in middle management, with 50% of these positions held by women as of 31 December 2025.

In parallel, implementation of the **Equality, Diversity, and Inclusion (EDI) workplan** continued, alongside ongoing efforts to improve working conditions, raise awareness and support work-life balance measures. In January 2025, the DIVERIS network was launched and ended the year with more than 60 members, bringing together stakeholders from the defence industry and space

sectors. The DIVERIS network aims to enhance innovation and competitiveness by breaking down barriers, promoting equal opportunities, increasing representation, attracting diverse talent and supporting inclusive policies and practices across Europe.

Learning and development opportunities continued to be promoted through internal communication channels. Introductory training and mentoring for newcomers were regularly organised, and DG DEFIS publicised in-person and e-learning opportunities (including webinars, e-learning modules and lunchtime Labs), as well as talent management initiatives.

3.2. Digital transformation and data management



Business-driven Digital Transformation: DG DEFIS significantly strengthened its digital governance and strategic alignment through the formal establishment of the **IT and Digital Management Board (ITDMB)**. The ITDMB serves as the decision-making forum for IT and digital matters, ensuring coherent prioritisation, accountability, and alignment with the Commission's corporate IT and digital strategy. In this context, the **DG DEFIS IT & Digital Strategy and Governance Framework** was endorsed, establishing a clear governance model covering IT investments, system lifecycle management, cybersecurity oversight and digital transformation initiatives, with defined roles and responsibilities aligned with corporate governance bodies.

Despite being a relatively small DG with limited IT resources, DG DEFIS demonstrated strong performance in 2025, supported by mature governance arrangements and close cooperation with central service providers, notably DG DIGIT. This was confirmed by the 2025 IAS audit on IT Governance and Security Management.

The **AI@DEFIS** initiative was established and endorsed by the ITDMB in 2025. It comprises an AI Working Group and a forthcoming Network of AI Champions, aimed at supporting training activities, knowledge sharing, and the exploration of DG-specific use cases. These actions supported adoption of corporate AI tools such as GPT@EC and prepared the organisation for a more structured AI governance framework, in line with forthcoming regulatory requirements.

Digital Culture: DG DEFIS continued to strengthen its digital culture by enhancing digital skills, promoting cybersecurity awareness, and encouraging the effective use of collaborative digital tools. DG DEFIS maintained an above-average participation in **digital skills** training, supported by targeted awareness actions and participation in corporate training programmes. Champion networks remained a key enabler of this approach, facilitating peer learning and the dissemination of good practices related to **collaborative tools** such as Teams and M365. Cybersecurity awareness was reinforced through targeted communication, participation in the corporate CyberAware programme, and an on-site **Cybersecurity Roadshow** event.

Digital-ready Policymaking: DG DEFIS promoted digital-ready policymaking by systematically integrating digital considerations into policy development. Cooperation between policy units, the Information Resources Management (IRM) function, and central advisory services ensured consistent assessment of digital implications and supported compliance with emerging requirements, including those under the **Interoperable Europe Act**.

Seamless Digital Environment: DG DEFIS consistently applied the principles of “Re-use before Buy before Build” and “Cloud First”, ensuring interoperability, security, and sustainability of its IT landscape. Significant progress was achieved in digital workplace modernisation and service delivery. DG DEFIS completed the migration from Skype for Business to Microsoft Teams, transitioned all staff to Windows 11, and advanced the development of a unified EU Space digital presence through the new eu-space.europa.eu website, improving user experience and consistency.

Data management: DG DEFIS strengthened the foundations for structured data governance in line with corporate data policies. Key actions focused on **data management, ownership and responsibilities, data quality** and **data skills** with initial and preparatory measures put in place across all four areas.

Preparatory work began on a **DG DEFIS Data Strategy and Data Management Policy**, planned for 2026, to address fragmented data practices and improve coherence across data assets. In support of ownership and responsibilities, the **Local Data Correspondent (LDC)** was appointed to coordinate data governance activities and act as the focal point for corporate data initiatives.

Actions to improve **data quality** and **usability** included enhanced reporting through improved dashboards and analytical tools, supporting more consistent and evidence-based use of data. In addition, DG DEFIS, together with DG GROW, acted as coordinator for the **Internal Market Family** under a Secretariat-General-led pilot project on data management. This work will continue in 2026, with a focus on exploring how datasets can be more effectively shared across services.

Based on progress achieved in 2025, DG DEFIS assesses its overall data maturity level as “developing”, reflecting the establishment of initial governance structures and practices, while recognising that further work is required to reach a more established level of maturity in 2026.

Green, Secure and Resilient Infrastructure: DG DEFIS maintained a strong cybersecurity posture throughout 2025, achieving an overall IT security maturity level of **99%**. Cybersecurity assurance capacity was reinforced to support the reassessment of security plans, while compliance with corporate security requirements continued to be monitored through the corporate tool. Staff engagement was also notable, with **47%** participation in the CyberAware assessment.

Data protection: In 2025, the **DG DEFIS Data Protection Coordinator (DPC)** focused on three areas:

- **Raising awareness** among DG DEFIS staff on high-risk activities (public procurement, meetings, IT tools, international transfers) and data subject request procedures. In particular, the DPC provided several opinions on international transfers in the context of procurement and outsourcing to contractors, drawing controllers’ attention on those matters. The internal SharePoint on data protection, intended for DEFIS staff members, was updated and expanded, including with information on joint controllership agreements, and was accessed multiple times.
- Promoting the use of **‘unit inventories’** to improve compliance monitoring and implement the Commission’s Data Protection Action Plan. 8 records are now published in the DPO central register, including 7 records published in 2024-2025.

- Ensuring compliance of DG DEFIS **IT systems and websites with data protection and security requirements**.

DG DEFIS continued to map implementation at unit level, communicate developments, ensure compliance, and manage data breaches. The DPC team also engaged regularly with data protection contact points to support compliance and breach management.

3.3. Sound environmental management



In 2025, DG DEFIS contributed to the Commission's objective of reducing net greenhouse gas emissions by at least 60% by 2030 and achieving climate neutrality by compensating carbon emissions with removals.

Key actions include:

- Assessing the **necessity of missions** and promoting **hybrid participation**.
- Advancing digitalisation and the adoption of paperless processes.
- Participating in **circular economy** initiatives, including efforts to **green the aerospace and defence industries**.
- Encouraging staff participation in **EMAS activities** through internal communication and event promotion.

The implementation of the Commission's guidelines for sustainable meetings and events ⁽¹³⁾ will continue to be promoted through internal communication channels.

DG DEFIS also reinforced its commitment to sustainability in the space sector through the development of the **Product Environmental Footprint Category Rules for Space (PEFCR4Space)**. In 2025, following extensive engagement with stakeholders, the first draft of the PEFCR4Space was launched for Open Consultation. In parallel, a call for supporting studies (PEFCR4Space demonstrators) was launched, resulting in the selection of 6 case studies. By the end of 2025, a procurement call was also launched to initiate, from 2026, support measures assisting space stakeholders in implementing these guidelines and reducing their environmental footprint.

⁽¹³⁾

https://ec.europa.eu/environment/emas/pdf/other/EC_Guide_Sustainable_Meetings_and_Events.pdf